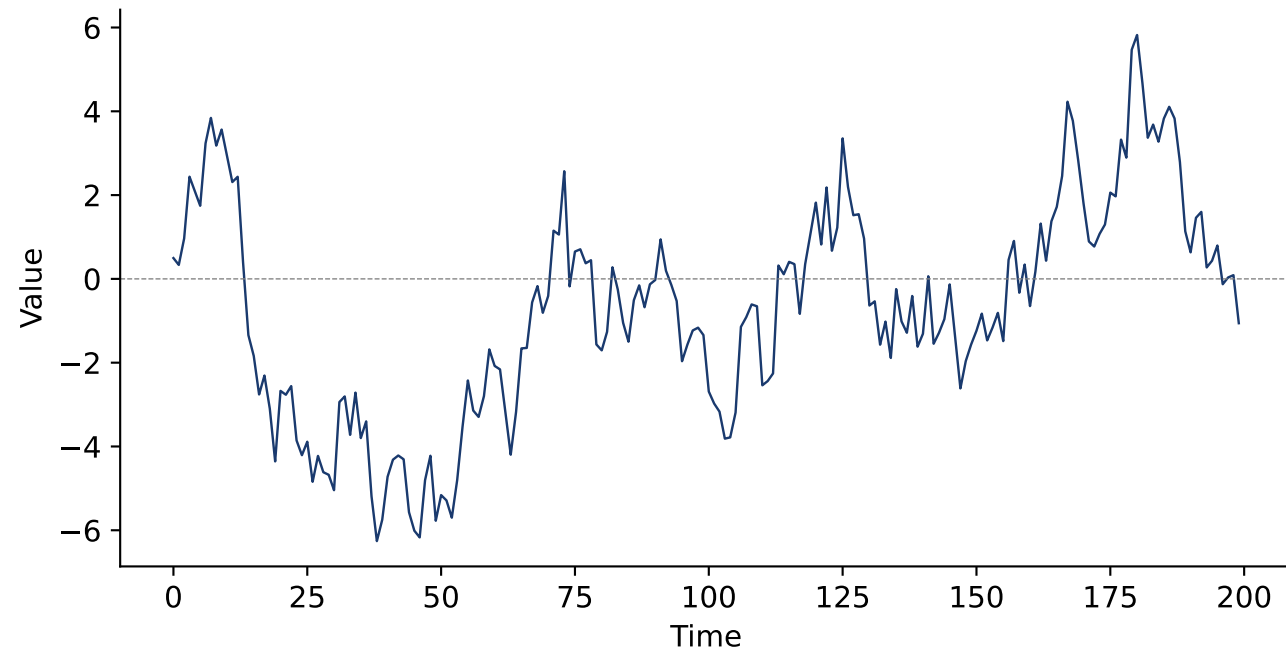
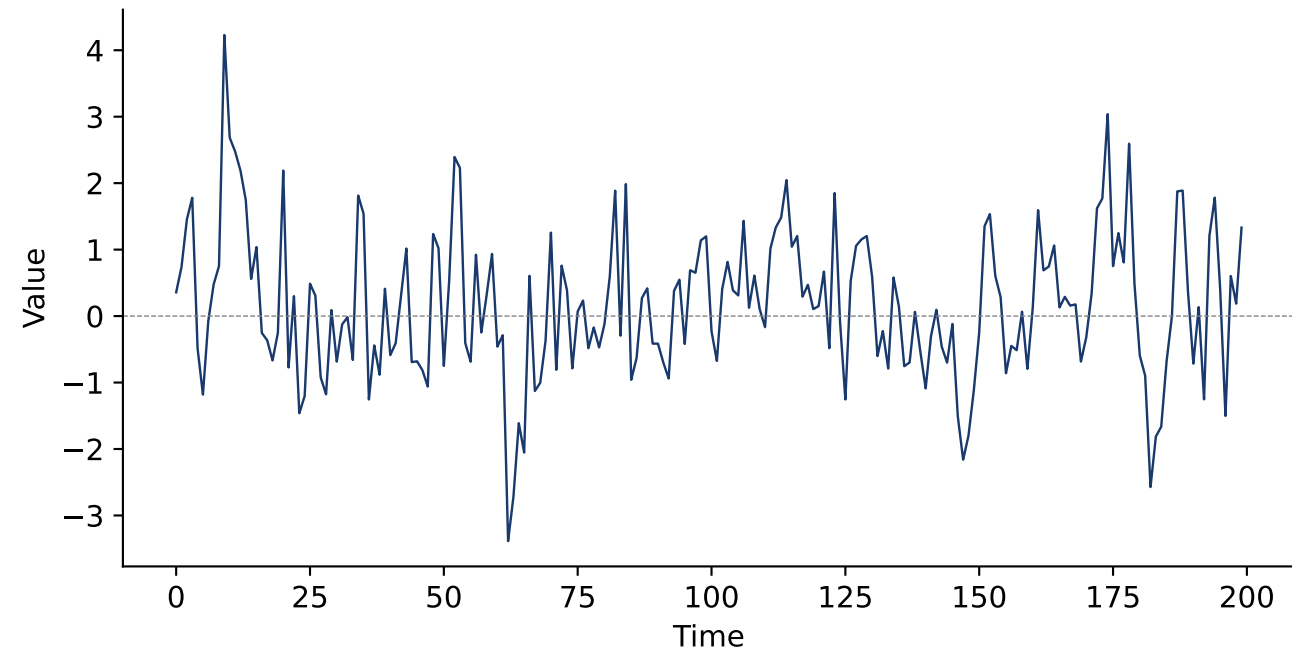


# AR(1) Process Simulations

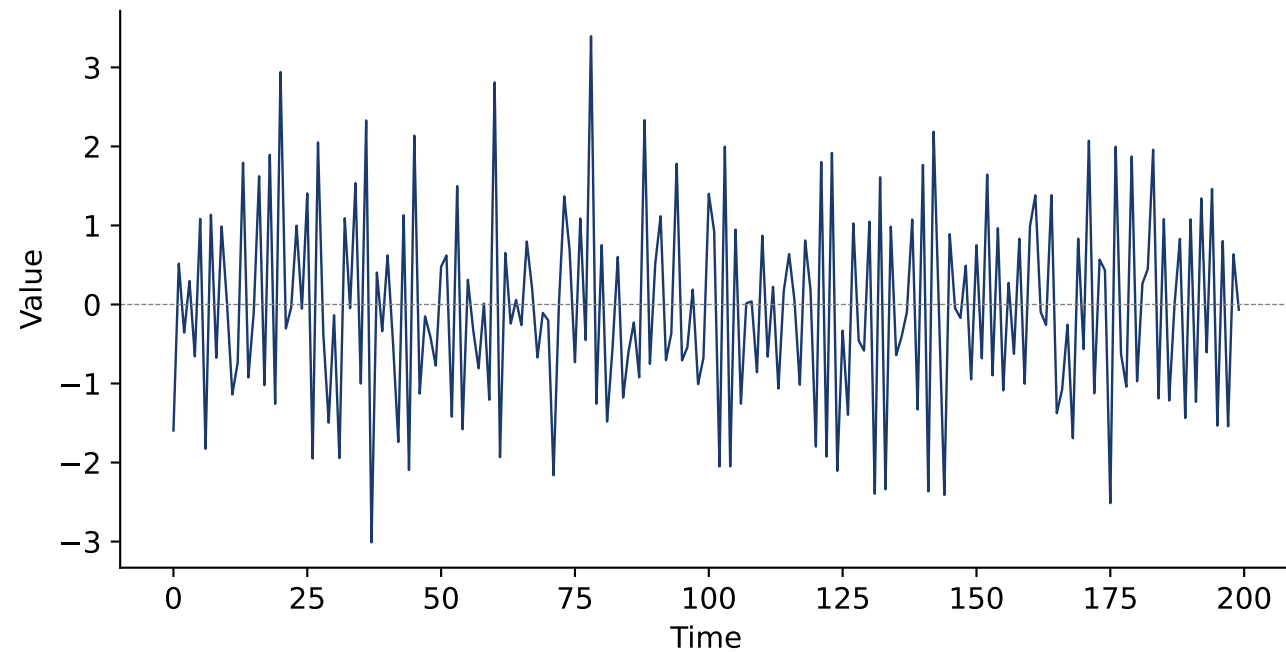
$\phi = 0.95$  — High persistence, slow mean-reversion



$\phi = 0.5$  — Moderate persistence



$\phi = -0.7$  — Negative autocorrelation (oscillating)



$\phi = 0.99$  — Near unit root (almost random walk)

